

Appendix G

MBFC + SH Glossary of Key Terms

MBFC + SH

A framework for evaluating organizational decisions based on value creation and friction reduction.

Value Dimensions:

- More — output, capacity, productivity
- Better — quality, consistency, accuracy
- Faster — speed, flow, responsiveness
- Cheaper — total cost efficiency
- Safer — risk reduction, stability
- Happier — experience of stakeholders

Friction Categories:

- Waste
- Defects
- Delays
- Cost
- Risk
- Frustration

Friction

Any factor that reduces system performance, increases inefficiency, or negatively impacts workflow, quality, cost, safety, or experience. Friction is not always avoidable, but it should be recognized, evaluated, and minimized where possible.

Waste

Activity that consumes resources without creating meaningful value. Waste often exists in processes that have not been revisited or optimized over time.

Defects

Errors, inconsistencies, or failures in output that require correction or rework. Defects often indicate breakdowns in process design or execution.

Delays

Any form of waiting or interruption that slows the flow of work. Delays often occur at handoffs, approvals, or resource constraints.

Cost

Cost that does not proportionally contribute to value creation. This may include redundant processes, inefficient systems, or unnecessary complexity.

Risk

Exposure to potential negative outcomes including safety issues, financial loss, operational disruption, or compliance failures. Risk must be evaluated alongside performance benefits, not in isolation.

Frustration

Negative human experience caused by inefficiency, confusion, unnecessary complexity, or lack of clarity in systems and processes. Frustration often signals underlying structural friction.

Net Improvement

A condition in which a decision or change produces greater system-wide benefits than costs when evaluated across MBFC and SH dimensions. Net improvement does not require every dimension to improve, but it does require overall system gain.

System

The interconnected structure of processes, decisions, people, and workflows that determine how an organization operates. Changes to one part of the system often affect other parts in unintended ways.

Continuous Improvement

The ongoing process of identifying friction, improving decisions, and increasing system performance over time. Continuous improvement depends on feedback, consistency, and a willingness to challenge existing assumptions.

Decision

Any choice that affects the direction, behavior, or performance of the organization. In MBFC + SH, decisions are evaluated based on their impact on system outcomes, not just their immediate intent.